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U.S. Weekly Economic & Financial Commentary

Weekly

Summary

U.S. Week In Review

- Nearly two weeks into the conflict with Iran, energy prices have surged, adding fresh inflation risk to an already fragile backdrop. Recent CPI and PCE data show further progress on inflation stalling out, driven in part by rising energy and goods prices, with March energy inflation expected to spike sharply if gasoline prices remain elevated. Housing activity remains subdued due to affordability constraints, as higher mortgage rates and soft single-family demand offset pockets of strength in multifamily construction, while small business sentiment has weakened modestly. For the Fed, the uncertain inflation and labor market outlook reinforces a data-dependent stance, with two rate cuts still our expectation this year, though persistently high oil prices and rising inflation expectations could delay or reduce future easing.

U.S. Week Ahead

- The FOMC meeting will be the focal point next week, as intensifying stagflation risks put the Fed's dual mandate in tension. We expect the Committee to hold rates steady and emphasize optionality, with the updated SEP likely to show that expectations for slightly higher inflation and lower growth will net out to an unchanged policy path. Elsewhere, activity in interest rate sensitive sectors remains touch and go; we forecast industrial production slipped in February and new home sales rose in January.

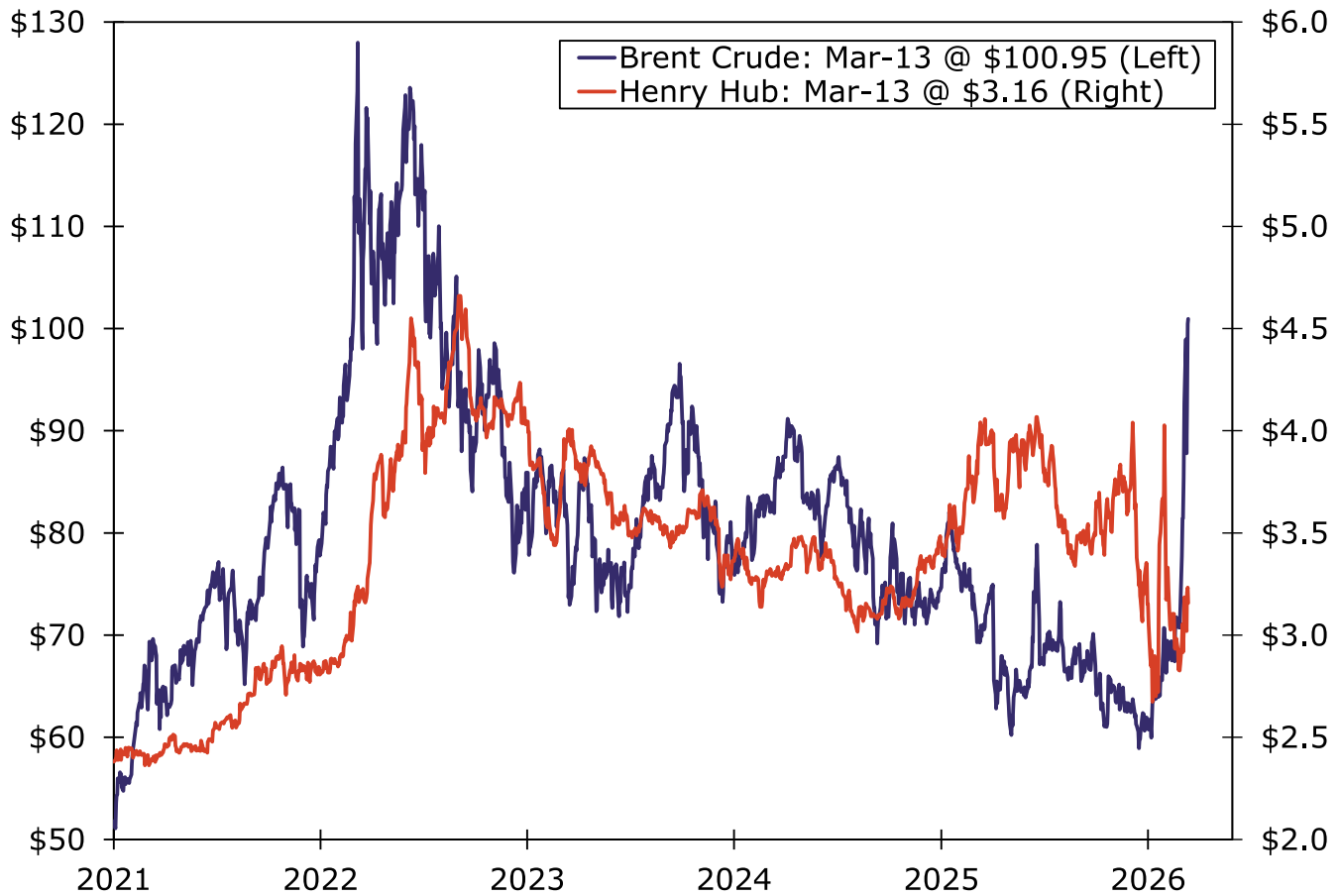
Weekly Domestic Indicator Forecasts					
Date	Indicator	Period	Consensus	Wells Fargo	Prior
16-Mar	Industrial Production (MoM)	Feb	0.1%	-0.3%	0.7%
16-Mar	Capacity Utilization	Feb	76.2%	76.5%	76.2%
18-Mar	PPI Final Demand (MoM)	Feb	0.3%	0.3%	0.5%
18-Mar	PPI Final Demand (YoY)	Feb	—	3.0%	2.9%
18-Mar	Core PPI (MoM)	Feb	0.3%	0.3%	0.8%
18-Mar	Core PPI (YoY)	Feb	—	3.1%	3.6%
18-Mar	Factory Orders (MoM)	Jan	—	0.2%	-0.7%
18-Mar	FOMC Rate Decision (Upper Bound)	Mar	3.75%	3.75%	3.75%
19-Mar	New Home Sales (SAAR)	Jan	725K	719K	745K

Forecast as of March 13, 2026
Source: Bloomberg Finance L.P. and Wells Fargo Economics

U.S. Week in Review

It has been almost two weeks since the start of the conflict with Iran, and since then, oil prices have been very volatile. As we go to print, the price of Brent crude has risen \$32 since the U.S. strikes, or about 46% above its February average. Henry Hub natural gas prices are also up 4% in the wake of the strikes. The surge in oil prices introduces fresh risk to an already complicated economic environment. A renewed rise in energy prices is especially troublesome for inflation, which has stalled on its progress back toward 2%. We got fresh CPI data this week, which showed that headline inflation rose 0.3% in February, leaving the year-over-year rate at 2.4% but pushing the more recent three-month annualized pace up to 3.0%. Energy prices rose 0.6% in February, driven primarily by a solid 1.1% gain in energy goods. Oil and gas prices were already rising in February in anticipation of a conflict in the Middle East, underpinning the strength, and we anticipate this will only further strengthen in March. Assuming the cost of regular gas averages \$3.65 per gallon for the rest of this month, we estimate energy goods will rise a more jarring ~18% month-over-month in March. Core CPI increased a moderate 0.22%, with softer vehicle prices offset by firmer gains in tariff-exposed goods such as apparel and household furnishings, while core services rose 0.3%, led by travel and medical services. Inflation pressures appear more stubborn in the PCE deflator, the Fed's preferred inflation metric. Headline PCE rose 0.3% over the month and 2.8% over the year in January, while core PCE rose 0.4%, lifting the year-ago rate a tenth to 3.1%. We estimate both headline and core measures to rise around 0.4% in February.

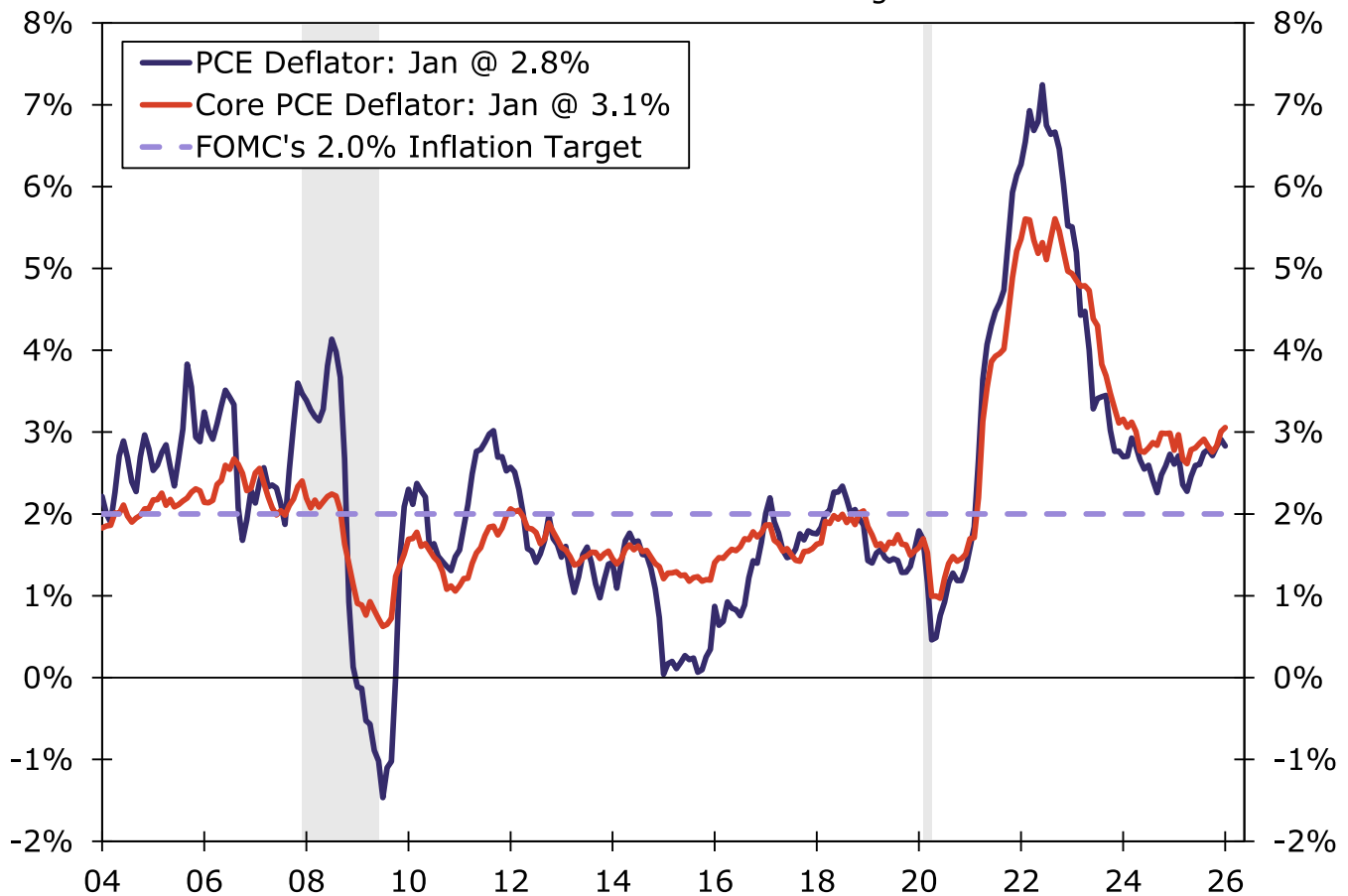
Oil and Natural Gas Prices



Source: Bloomberg Finance L.P. and Wells Fargo Economics

PCE vs. Core PCE Deflator

Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

On the housing front, housing starts jumped 7.2% in January, though this was driven by a surge in multifamily starts. Underlying details painted a weaker picture as single-family starts declined and permits fell. Builder confidence deteriorated amid slowdowns in buyer traffic and a weakening in sales expectations. That said, there remains scope for improvement in multifamily development, driven primarily by single-family affordability challenges and thinning apartment supply. Affordability remains a significant hurdle for home sales, and this was apparent in the existing home sales print for February. Though existing home sales rose 1.7% to a 4.09 million-unit pace in February, sales remain notably below the trend in late 2025. Mortgage rates remain elevated around 6.0%-6.1%, and inventories remain strong. Overall, home buying is likely to slowly improve over the course of the year, but likely should continue to run at a sluggish rate due to the adverse affordability conditions.

Small business sentiment softened for a second month as firms pared back hiring and capex plans, though optimism about broader economic conditions remained relatively constructive, supported by solid earnings and sales. Meanwhile, trade data continue to be distorted by investment-related flows such as non-monetary gold. These data won't translate directly to what is included in GDP accounting, and thus the \$18.4 billion narrowing in the January trade deficit overstates the growth impact. Strong demand for high-tech-related products has propped up imports, though non-monetary gold accounted for roughly 40% of the overall drop in imports over the month. We expect the trade deficit to widen over the course of the year due to pent-up import demand and near-term clarity on tariffs.

It is times like these that justify the mantra of "data-dependence" for policymakers at the Fed. Given the inflation data from this week are a bit more dated than is typical when heading into the March meeting, we expect they do little to sway the hawks, doves, and undecideds one way or another. Policymakers are likely to focus instead on the uncertain outlook for energy prices and the broader inflation outlook in light of the developing conflict with Iran. On face value, the Fed is likely to look through a temporary energy-driven increase in inflation. However, inflation expectations are highly sensitive to energy prices, and sustained upward pressure on inflation could narrow the margin for additional easing and delay future rate cuts, particularly if labor market cooling continues to be gradual. For now, our base case forecast remains two 25 bps rate cuts at the June and September FOMC meetings. That said, the longer oil prices remain elevated, the more difficult that may be to realize.

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U.S. Week Ahead

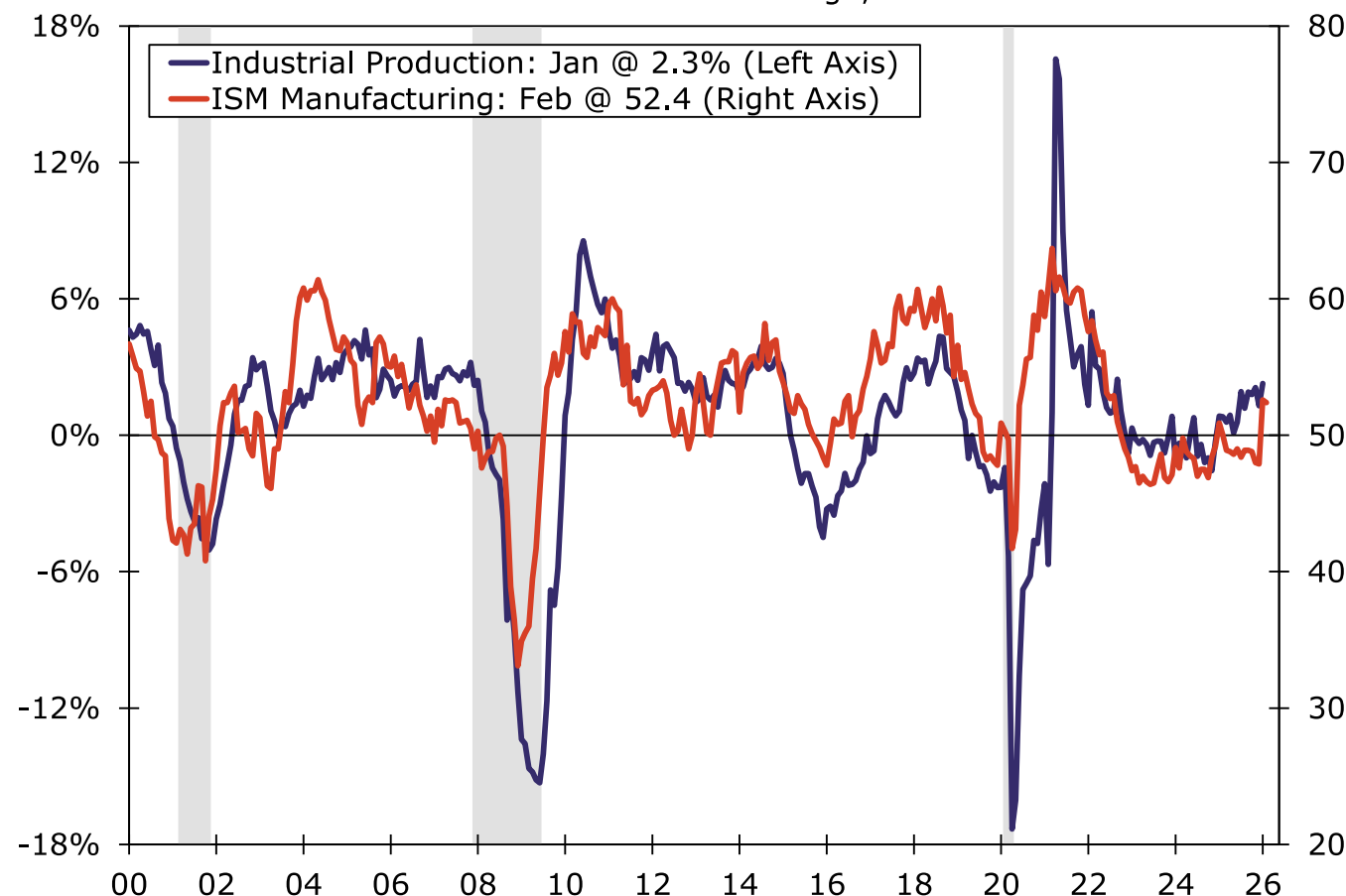
Industrial Production • Monday

The manufacturing backdrop remains touch and go amid elevated uncertainty. We have long expected a rebound in broad manufacturing activity this year as firms begin to reengage sidelined capital spending plans that were delayed by tariffs, but the latest conflict in Iran introduces new downside risks to that outlook. Recent industrial data point to modest improvement at the margin, though growth continues to be driven primarily by high-tech-related investment rather than more traditional areas of capex.

That said, pent-up demand for conventional capital spending, combined with a recent easing in tariff pressures following the ruling against IEEPA tariffs and the maintenance of a 10% baseline tariff, could support a gradual pickup in activity. February ISM manufacturing edged down just 0.2 points to 52.4 but remained in expansion territory, supported by strength in new orders, production and supplier deliveries. Against this backdrop, we expect industrial production slipped modestly in February, down 0.3%.

Industrial Production vs. ISM Manufacturing

Year-over-Year Percent Change; Index

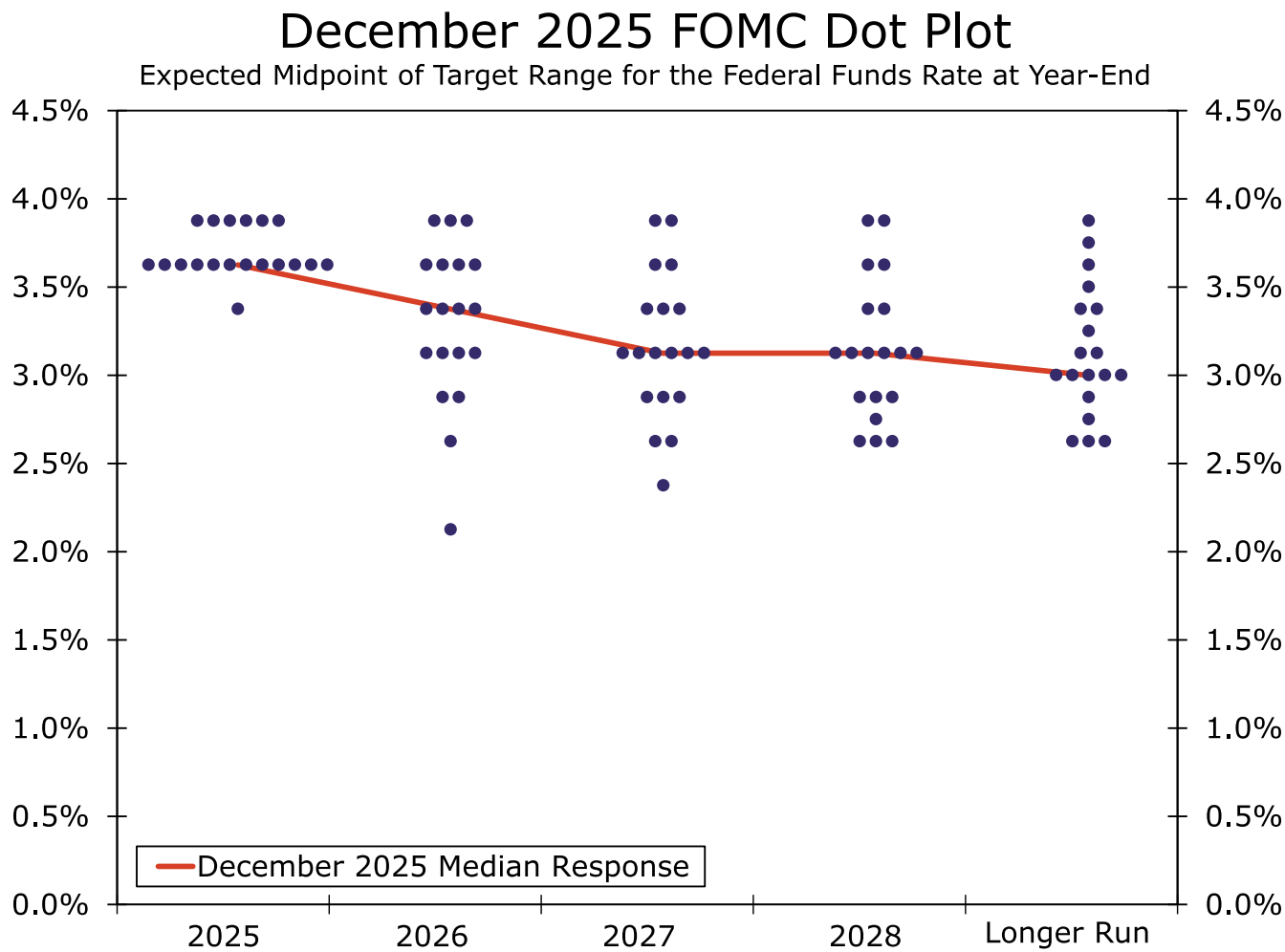


Source: Federal Reserve Board, Institute for Supply Management and Wells Fargo Economics

FOMC • Wednesday

Stagflation risks have increased since January, putting the FOMC's dual mandate in tension. Volatile energy prices tied to the Iran conflict have induced uncertainty, but the net signal from recent data is little changed: the labor market is still muddling along, and PCE inflation remains stuck near 3%. We expect the Committee to hold rates steady next week and lean heavily on optionality, emphasizing that higher uncertainty argues for a data-dependent approach.

The Summary of Economic Projections (SEP) should tilt modestly in a stagflationary direction, with higher inflation forecasts extending into 2027, and slightly lower GDP projections and modestly higher unemployment rate expectations for 2026. We expect the median dot for the federal funds rate to remain unchanged, as the risks of higher inflation and lower growth are likely to offset each other. Our forecast continues to call for two 25 bps cuts in June and September, alongside a well-telegraphed slowdown in balance sheet runoff that should have minimal impact on longer-term interest rates.



Source: Federal Reserve Board and Wells Fargo Economics

New Home Sales • Thursday

New home sales are gaining momentum. After averaging a 660K annual pace through the first half of 2025, which was slightly below the year prior, the average pace of transactions jumped to 751K in November and December. Lower mortgage rates appear to be a main driver. The average 30-year fixed rate fell from 7.0% in January 2025 to 6.2% in December and have since slid further to 6.0%. Furthermore, approximately two-thirds of builders are using incentives like price cuts and mortgage rate buy-downs to offset macro challenges, an elevated share compared to recent history.

Harsh winter weather likely prompted some giveback in January. However, price cuts and lower mortgage rates are likely to sustain a healthy overall pace of transactions. We forecast that 2026 started off with a 719K annual sales rate in January, which would be near the upper end of new home sales' overall range last year.

We expect that new home sales will sustain this momentum over the course of 2026. Builder incentives will likely continue to buttress new home sales in the year ahead. We also anticipate an average 30-year mortgage rate of around 6.1% this year, still elevated but below the 6.6% average in 2025. That said, lofty inventory-to-sales ratios will likely preclude a corresponding pickup in single-family construction.

[\(Return to Summary\)](#)

Source: Freddie Mac, U.S. Department of Commerce and Wells Fargo Economics

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All estimates/forecasts are as of 3/13/2026 unless otherwise stated. 3/13/2026 11:49:38 EDT.

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International Week Ahead - March 13, 2026

Weekly

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International Week Ahead

- **European Central Bank:** Focus On Communication, Not Near-Term Action
- **Bank of Canada:** On Hold, Policy Asymmetry Shift Away from Near-Term Easing
- **Bank of Japan:** Tightening Bias Intact, Yet Bar for Immediate Action Is High
- **Canada CPI:** Large Drop in Headline Inflation Reflects Base Effects
- **Bank of England Bank Rate:** On Hold, Easing Not Over
- **Reserve Bank of Australia Cash Rate:** Rate Hike Likely Brought Forward
- **Brazilian Central Bank Selic Rate:** Tempered Easing to Start

Weekly International Indicator Forecasts						
Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
16-Mar	Canada	CPI (YoY)	16-Mar	1.9%	1.8%	2.3%
16-Mar	Canada	CPI (MoM)	16-Mar	0.7%	0.6%	0.0%
16-Mar	Canada	Core CPI - Median (YoY)	16-Mar	2.4%	2.4%	2.5%
16-Mar	Canada	Core CPI - Trim (YoY)	16-Mar	2.4%	2.3%	2.4%
17-Mar	Australia	Reserve Bank of Australia Cash Rate	17-Mar	4.10%	4.10%	3.85%
18-Mar	Canada	Bank of Canada Policy Rate	18-Mar	2.25%	2.25%	2.25%
18-Mar	Brazil	Brazilian Central Bank Selic Rate	18-Mar	14.63%	14.75%	15.00%
19-Mar	Japan	Bank of Japan Policy Rate	19-Mar	0.75%	0.75%	0.75%
19-Mar	U.K.	Bank of England Bank Rate	19-Mar	3.75%	3.75%	3.75%
19-Mar	Eurozone	European Central Bank Deposit Rate	19-Mar	2.00%	2.00%	2.00%

Forecast as of March 13, 2026
Source: Bloomberg Finance L.P. and Wells Fargo Economics

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European Central Bank Policy Rate Decision • (3/19)

Focus on Communication/Updated Staff Forecasts, Not Near-Term Action

February inflation surprised to the upside, driven by core components (firmer services, fading goods disinflation, hotter food and a diminished energy drag). The recent oil shock shifts risks away from undershooting inflation toward guarding against persistence. European Central Bank (ECB) staff forecasts should show meaningful upward revisions to 2026 inflation, with any lift to 2027 a key signal for second round effects. Activity looks more resilient than feared, but confidence remains fragile amid geopolitics, trade uncertainty and energy volatility. Expect a less relaxed tone, potentially retiring the long-standing “policy in a good place” language. This is intended to harden rhetoric without signaling imminent rate moves. Overall, we expect optionality to be preserved, but the asymmetry has shifted away from cuts. If energy prices remain elevated, H2 tightening risk creeps back into the distribution, even if near term action is unlikely. Financial conditions have already tightened via repricing in rates. We expect the euro may be negatively correlated with the oil shock as growth headwinds offset firmer rate expectations.

Bank of Canada Policy Rate Decision • (3/18)

On Hold, but Policy Asymmetry Has Shifted Away from Near-Term Easing

We expect the Bank of Canada (BoC) to leave rates unchanged at this meeting. March is too early for a material change in guidance, particularly with USMCA related trade risks still unresolved. That said, the tone should be less dovish than in recent months. The bar for additional cuts has risen, and the BoC is likely to emphasize two-sided risks rather than a clean easing bias. The external impulse from higher oil prices is a game changer relative to our previous views. We detailed this change in our recent [Monthly](#). If sustained, higher energy prices support nominal income, bolster parts of the growth mix and keep inflation uncomfortably above target. This undermines the earlier logic for Q2–Q3 cuts that rested on soft labor markets, trade exposed sectors and easing underlying

inflation. While core inflation had been cooling, the energy shock raises the risk of renewed persistence, especially via headline inflation and inflation expectations. On growth, Canada is relatively insulated versus other advanced economies given its energy exposure, which reduces downside risks relative to peers. The BoC is likely to frame policy as “wait-and-see,” stressing data dependence and uncertainty around the durability of the oil move. Importantly, the asymmetry now points away from cuts. Even if energy prices retrace modestly near term, the threshold for restarting easing is higher than it was earlier this year. We no longer expect near-term cuts, and our baseline now incorporates a 25 bps hike in Q3-2026, with scope for more if oil prices extend higher, USMCA risks fail to materialize (i.e., tariff weighted averages remain broadly unchanged) and/or fiscal rollout accelerates. The shift in policy asymmetry should be mildly supportive for front-end Canada rates and limits downside for the CAD, especially against currencies where policy trade-offs are acute and growth risks severe.

Bank of Japan Policy Rate Decision • (3/19)

Tightening Bias Intact, yet Bar for Immediate Action Is High

We expect the Bank of Japan (BoJ) to keep rates unchanged at this meeting. While recent market pricing and JPY dynamics keep March “in play,” the BoJ is more likely to use this meeting to reinforce its normalization bias. Communication should lean on gradualism, data dependence and vigilance around FX and financial conditions. Business activity has improved, with manufacturing and services indicators firming, but household demand remains fragile as real wage growth is only slowly stabilizing. Inflation has eased from recent peaks, yet core and underlying measures remain at or above target, leaving the BoJ comfortable that underlying inflation dynamics are broadly consistent with its objective. JPY weakness and JGB volatility remain key constraints. The BoJ is acutely sensitive to the risk that prolonged inaction could reignite currency depreciation and undermine policy credibility. That said, with the JPY relatively range bound in recent weeks and market conditions somewhat calmer, the urgency to act immediately has diminished. We continue to expect one additional hike later this year, with the timing skewed toward the latter part of the year (October). An earlier move would require clearer signs of renewed JPY dislocation and/or a further acceleration in services inflation and wage growth, while a delay would be more likely if growth softens again and inflation persistence fades. A hold with hawkish leaning guidance should limit near term downside in the JPY, but absent concrete action, the currency is likely to remain on a depreciating trend, pressured by a large negative terms-of-trade shock, weak fiscal dynamics and a still wide rate gap with the US.

Canada February CPI • (3/16)

Large Drop in Headline Inflation Reflects Base Effects

We expect headline inflation in February to decline to 1.8% year-over-year from 2.3% in January. This largely reflects base effects related to the GST/HST holiday related boost last year as month-over-month inflation is expected to accelerate to 0.6% month-over-month from a flat reading in the previous month. We expect underlying core inflation to continue to moderate with weighted median and trimmed mean inflation moving down to 2.4% and 2.3% year-over-year, respectively. If oil prices evolve as suggested by futures markets, the potential boost to Canada inflation is likely to be sizable—adding up to 1pp to headline inflation over a 1-year horizon. We expect most of this inflationary impulse to pass through into year-end 2026. Greater persistent in oil prices and/or higher levels imply a much larger inflationary surge. For example, if oil prices average above \$130/bbl, the boost to inflation is in excess of 3pp. We recently upgraded our Canada inflation forecast for 2026 and 2027 higher to 2.4% and 2.3% from 1.6% and 2.0%, respectively (see [here](#)).

Reserve Bank of Australia Policy Rate Decision • (03/17)

Rate Hike Likely Brought Forward

We expect the Reserve Bank of Australia (RBA) to raise the cash rate by 25 bps to 4.10% at next week’s meeting, marking the second hike this year after February and pulling forward our previous expectation of a May move. While uncertainty tied to Middle East tensions and higher energy prices will factor into the decision, this is largely a domestic inflation story, with inflation trending higher since Q2-2025 and January headline and trimmed mean readings of 3.8% year-over-year and 3.4%, both exceeding expectations. With solid growth, low unemployment and rising inflation expectations, the RBA has scope to respond to mounting price pressures. We expect this to be the final hike as growth slows, though risks skew toward further tightening if inflation continues to rise, labor markets tighten further or higher oil prices and geopolitical uncertainty persist.

Bank of England Policy Rate Decision • (03/19)

On Hold, Easing Not Over

Next week, when the Bank of England (BoE) announces its latest policy decision, we expect the Bank Rate to remain unchanged at 3.75%, marking a shift from our prior call for a cut. This change does not reflect a view that easing is over but rather that elevated uncertainty may lead the Monetary Policy Committee to proceed cautiously until there is greater clarity on the duration of Middle East conflict and higher energy prices. The meeting comes without updated forecasts or a press conference and we expect neutral forward guidance that preserves optionality for the BoE. Given subdued growth, as reinforced by January’s GDP data, and elevated unemployment, we look for rate cuts in Q2 and Q3, taking Bank Rate to 3.25%, though risks are skewed toward a longer hold, not tightening, if the conflict persists.

EM

Brazilian Central Bank Policy Rate Decision • (03/18)

Tempered Easing to Start

We expect the Brazilian Central Bank (BCB) to begin its easing cycle with a 25 bps cut next week, taking the Selic Rate to 14.75%. Even before the Middle East conflict, election-related fiscal risks and BRL volatility underpinned our more cautious view on easing. Pre-election populism alongside Lula’s still competitive polling is likely to strain Brazil’s limited fiscal flexibility and renew pressure on local financial markets. While higher oil prices can be a net positive for Brazil’s economy (keeping near-term growth prospects supported), the sharp rise in energy prices will keep inflation expectations uncomfortably elevated for policymakers. Lingering fiscal concerns and evidence of economic resilience pre-Iran reinforces our view for a more gradual and tempered BCB monetary easing cycle than forecast by economists’ consensus. We forecast BCB’s policy rate at 13.25% by end-2026 vs. 12.125% median forecast per the BCB’s FOCUS Survey. Market expectations for the policy rate have moved higher in recent days with interest rate futures suggesting 13.5% by year-end vs. 12.16% at the start of March. Risk premium in interest rate markets may continue to widen as oil moves higher, inflation expectations show signs of becoming de-anchored and/or economic populism efforts are renewed.

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U.S. Weekly Economic & Financial Commentary

Weekly

Summary

U.S. Week In Review

- Nearly two weeks into the conflict with Iran, energy prices have surged, adding fresh inflation risk to an already fragile backdrop. Recent CPI and PCE data show further progress on inflation stalling out, driven in part by rising energy and goods prices, with March energy inflation expected to spike sharply if gasoline prices remain elevated. Housing activity remains subdued due to affordability constraints, as higher mortgage rates and soft single-family demand offset pockets of strength in multifamily construction, while small business sentiment has weakened modestly. For the Fed, the uncertain inflation and labor market outlook reinforces a data-dependent stance, with two rate cuts still our expectation this year, though persistently high oil prices and rising inflation expectations could delay or reduce future easing.

U.S. Week Ahead

- The FOMC meeting will be the focal point next week, as intensifying stagflation risks put the Fed's dual mandate in tension. We expect the Committee to hold rates steady and emphasize optionality, with the updated SEP likely to show that expectations for slightly higher inflation and lower growth will net out to an unchanged policy path. Elsewhere, activity in interest rate sensitive sectors remains touch and go; we forecast industrial production slipped in February and new home sales rose in January.

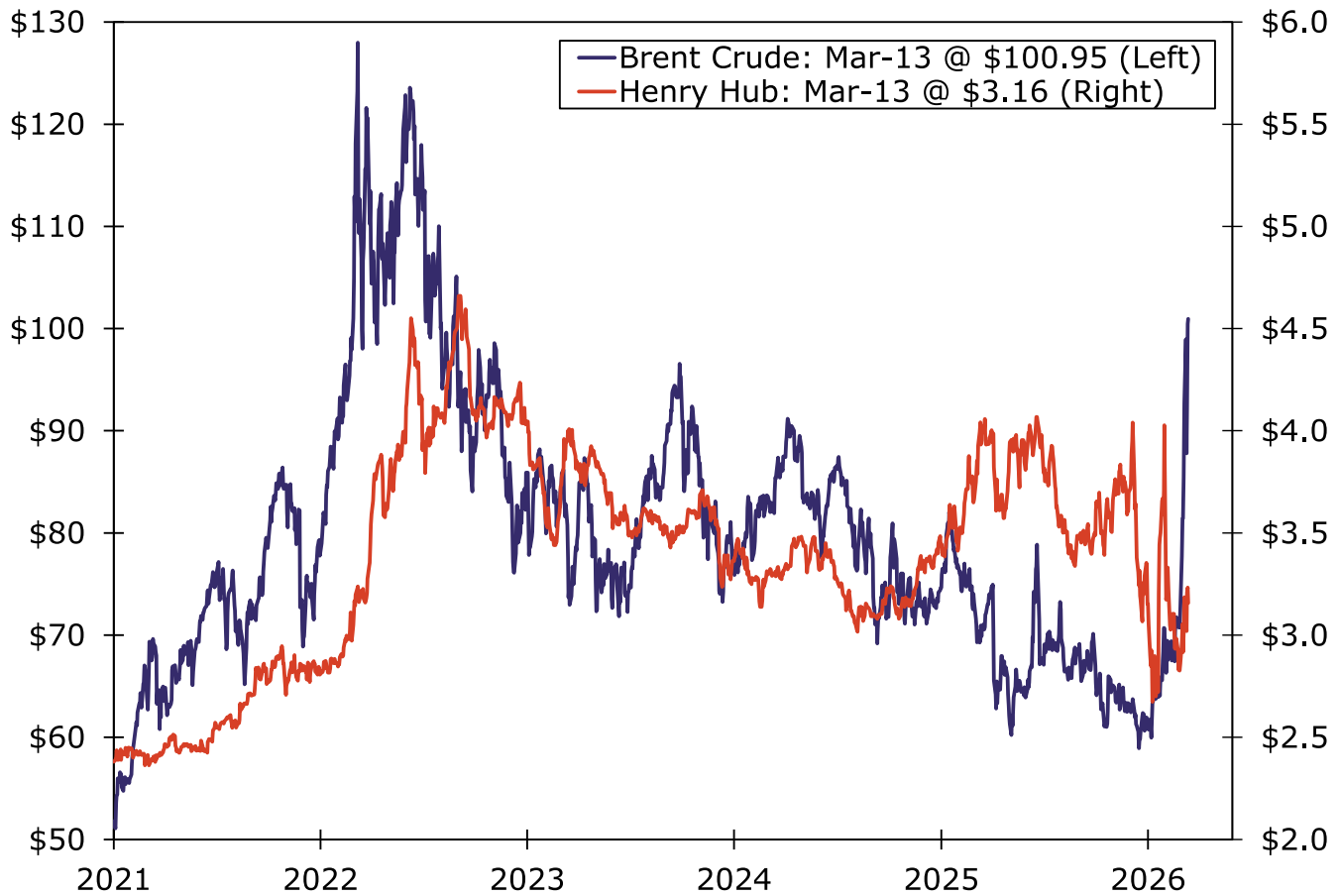
Weekly Domestic Indicator Forecasts					
Date	Indicator	Period	Consensus	Wells Fargo	Prior
16-Mar	Industrial Production (MoM)	Feb	0.1%	-0.3%	0.7%
16-Mar	Capacity Utilization	Feb	76.2%	76.5%	76.2%
18-Mar	PPI Final Demand (MoM)	Feb	0.3%	0.3%	0.5%
18-Mar	PPI Final Demand (YoY)	Feb	—	3.0%	2.9%
18-Mar	Core PPI (MoM)	Feb	0.3%	0.3%	0.8%
18-Mar	Core PPI (YoY)	Feb	—	3.1%	3.6%
18-Mar	Factory Orders (MoM)	Jan	—	0.2%	-0.7%
18-Mar	FOMC Rate Decision (Upper Bound)	Mar	3.75%	3.75%	3.75%
19-Mar	New Home Sales (SAAR)	Jan	725K	719K	745K

Forecast as of March 13, 2026
Source: Bloomberg Finance L.P. and Wells Fargo Economics

U.S. Week in Review

It has been almost two weeks since the start of the conflict with Iran, and since then, oil prices have been very volatile. As we go to print, the price of Brent crude has risen \$32 since the U.S. strikes, or about 46% above its February average. Henry Hub natural gas prices are also up 4% in the wake of the strikes. The surge in oil prices introduces fresh risk to an already complicated economic environment. A renewed rise in energy prices is especially troublesome for inflation, which has stalled on its progress back toward 2%. We got fresh CPI data this week, which showed that headline inflation rose 0.3% in February, leaving the year-over-year rate at 2.4% but pushing the more recent three-month annualized pace up to 3.0%. Energy prices rose 0.6% in February, driven primarily by a solid 1.1% gain in energy goods. Oil and gas prices were already rising in February in anticipation of a conflict in the Middle East, underpinning the strength, and we anticipate this will only further strengthen in March. Assuming the cost of regular gas averages \$3.65 per gallon for the rest of this month, we estimate energy goods will rise a more jarring ~18% month-over-month in March. Core CPI increased a moderate 0.22%, with softer vehicle prices offset by firmer gains in tariff-exposed goods such as apparel and household furnishings, while core services rose 0.3%, led by travel and medical services. Inflation pressures appear more stubborn in the PCE deflator, the Fed's preferred inflation metric. Headline PCE rose 0.3% over the month and 2.8% over the year in January, while core PCE rose 0.4%, lifting the year-ago rate a tenth to 3.1%. We estimate both headline and core measures to rise around 0.4% in February.

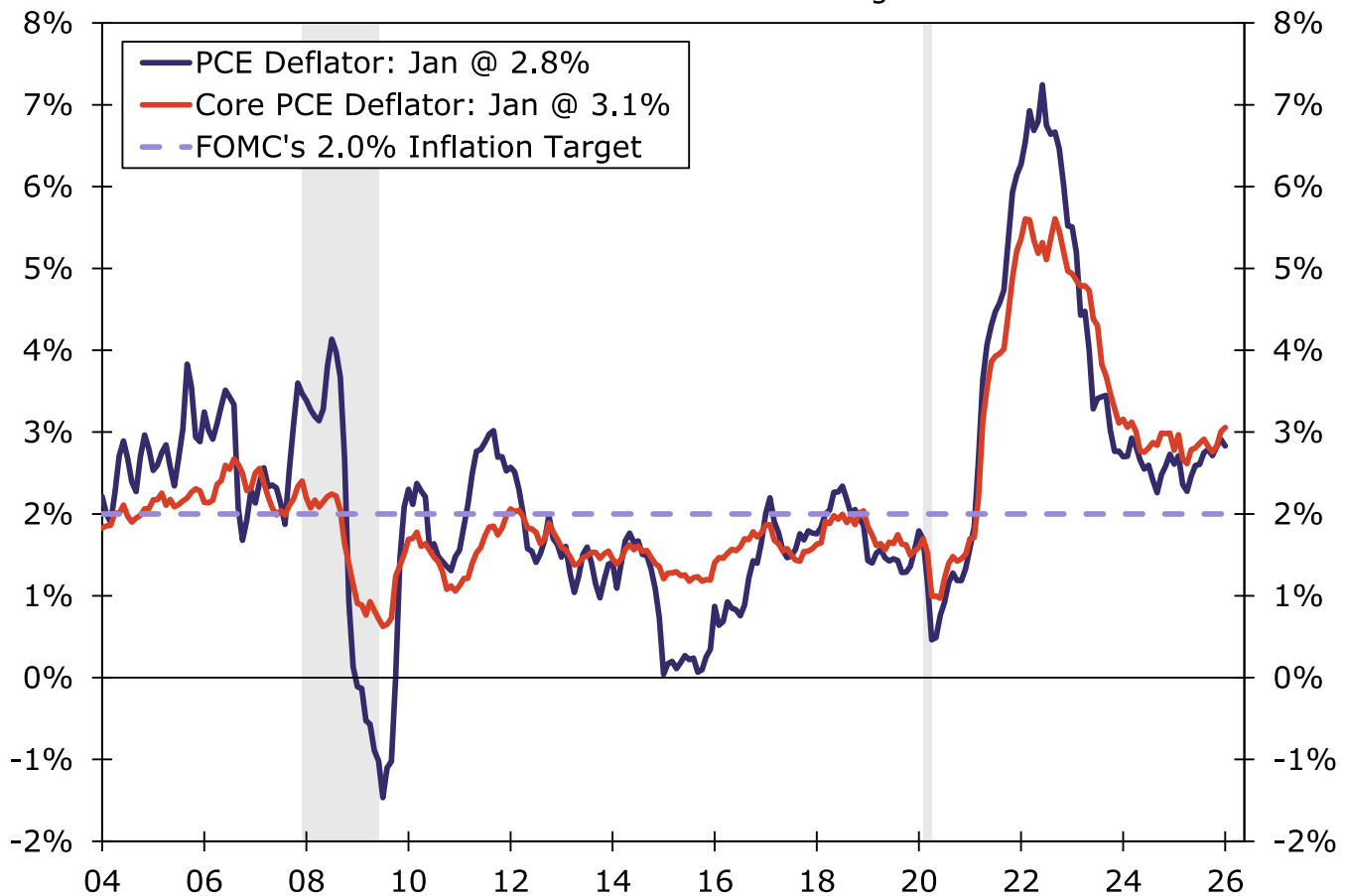
Oil and Natural Gas Prices



Source: Bloomberg Finance L.P. and Wells Fargo Economics

PCE vs. Core PCE Deflator

Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

On the housing front, housing starts jumped 7.2% in January, though this was driven by a surge in multifamily starts. Underlying details painted a weaker picture as single-family starts declined and permits fell. Builder confidence deteriorated amid slowdowns in buyer traffic and a weakening in sales expectations. That said, there remains scope for improvement in multifamily development, driven primarily by single-family affordability challenges and thinning apartment supply. Affordability remains a significant hurdle for home sales, and this was apparent in the existing home sales print for February. Though existing home sales rose 1.7% to a 4.09 million-unit pace in February, sales remain notably below the trend in late 2025. Mortgage rates remain elevated around 6.0%-6.1%, and inventories remain strong. Overall, home buying is likely to slowly improve over the course of the year, but likely should continue to run at a sluggish rate due to the adverse affordability conditions.

Small business sentiment softened for a second month as firms pared back hiring and capex plans, though optimism about broader economic conditions remained relatively constructive, supported by solid earnings and sales. Meanwhile, trade data continue to be distorted by investment-related flows such as non-monetary gold. These data won't translate directly to what is included in GDP accounting, and thus the \$18.4 billion narrowing in the January trade deficit overstates the growth impact. Strong demand for high-tech-related products has propped up imports, though non-monetary gold accounted for roughly 40% of the overall drop in imports over the month. We expect the trade deficit to widen over the course of the year due to pent-up import demand and near-term clarity on tariffs.

It is times like these that justify the mantra of "data-dependence" for policymakers at the Fed. Given the inflation data from this week are a bit more dated than is typical when heading into the March meeting, we expect they do little to sway the hawks, doves, and undecideds one way or another. Policymakers are likely to focus instead on the uncertain outlook for energy prices and the broader inflation outlook in light of the developing conflict with Iran. On face value, the Fed is likely to look through a temporary energy-driven increase in inflation. However, inflation expectations are highly sensitive to energy prices, and sustained upward pressure on inflation could narrow the margin for additional easing and delay future rate cuts, particularly if labor market cooling continues to be gradual. For now, our base case forecast remains two 25 bps rate cuts at the June and September FOMC meetings. That said, the longer oil prices remain elevated, the more difficult that may be to realize.

[\(Return to Summary\)](#)

U.S. Week Ahead

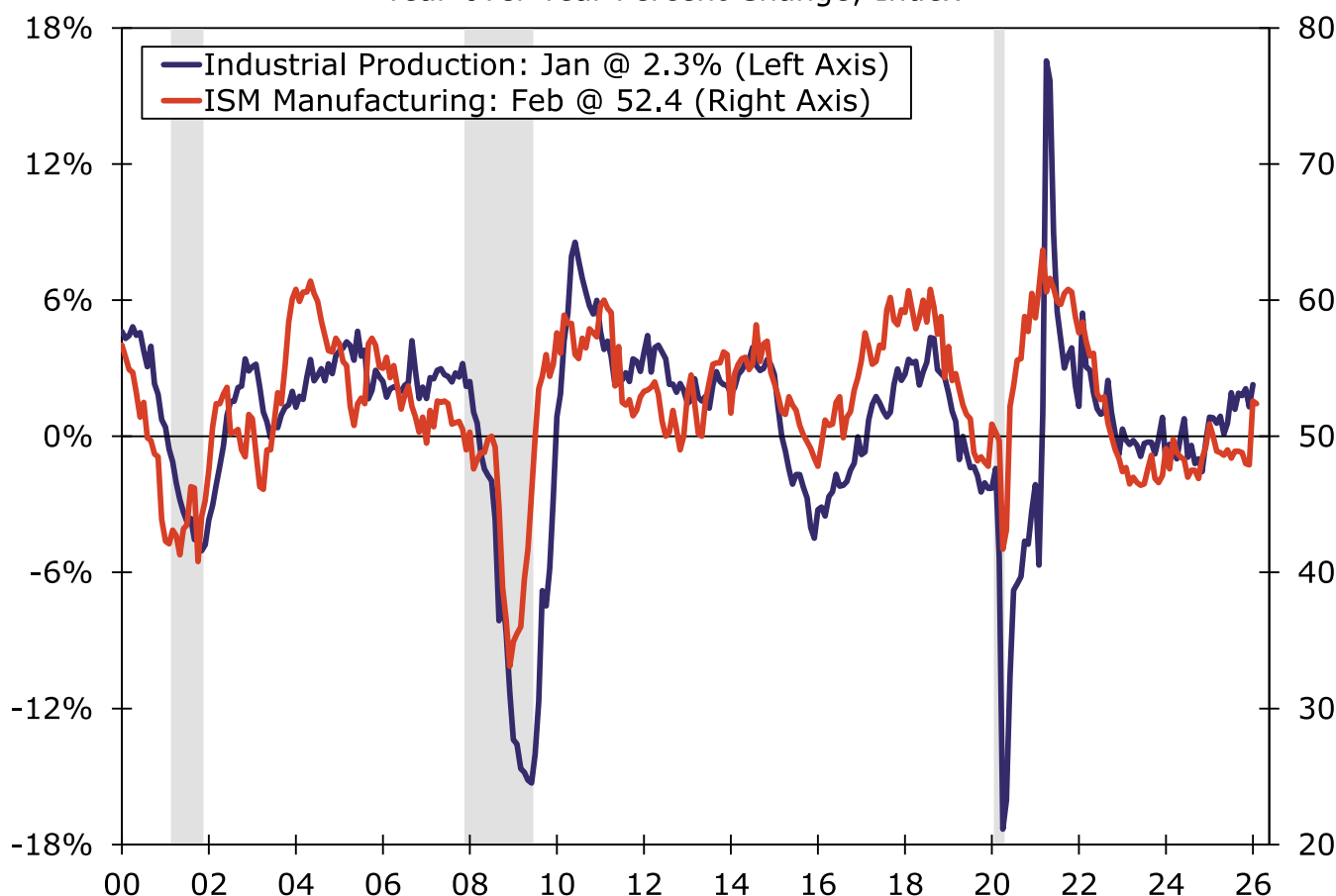
Industrial Production • Monday

The manufacturing backdrop remains touch and go amid elevated uncertainty. We have long expected a rebound in broad manufacturing activity this year as firms begin to reengage sidelined capital spending plans that were delayed by tariffs, but the latest conflict in Iran introduces new downside risks to that outlook. Recent industrial data point to modest improvement at the margin, though growth continues to be driven primarily by high-tech-related investment rather than more traditional areas of capex.

That said, pent-up demand for conventional capital spending, combined with a recent easing in tariff pressures following the ruling against IEEPA tariffs and the maintenance of a 10% baseline tariff, could support a gradual pickup in activity. February ISM manufacturing edged down just 0.2 points to 52.4 but remained in expansion territory, supported by strength in new orders, production and supplier deliveries. Against this backdrop, we expect industrial production slipped modestly in February, down 0.3%.

Industrial Production vs. ISM Manufacturing

Year-over-Year Percent Change; Index

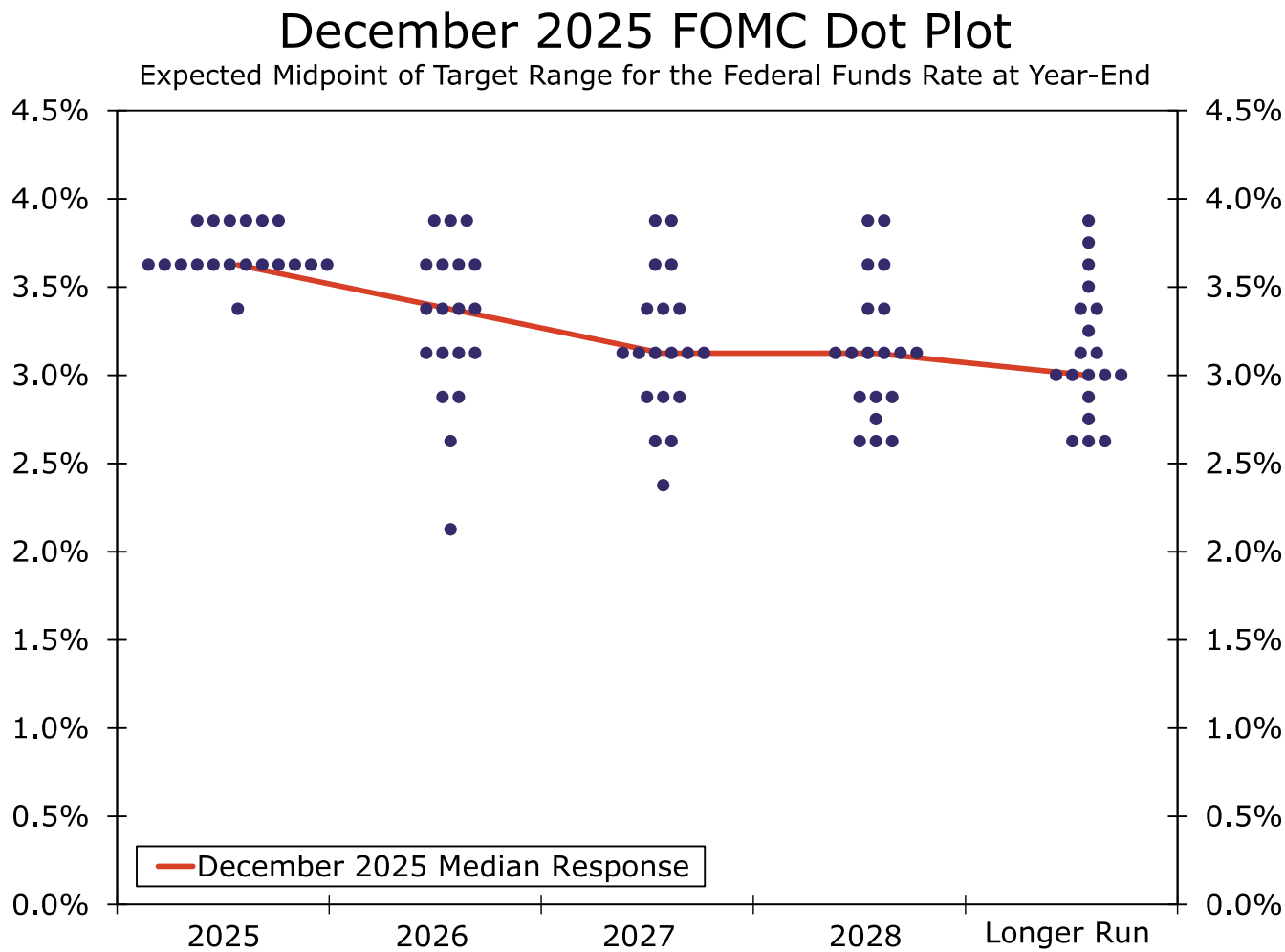


Source: Federal Reserve Board, Institute for Supply Management and Wells Fargo Economics

FOMC • Wednesday

Stagflation risks have increased since January, putting the FOMC's dual mandate in tension. Volatile energy prices tied to the Iran conflict have induced uncertainty, but the net signal from recent data is little changed: the labor market is still muddling along, and PCE inflation remains stuck near 3%. We expect the Committee to hold rates steady next week and lean heavily on optionality, emphasizing that higher uncertainty argues for a data-dependent approach.

The Summary of Economic Projections (SEP) should tilt modestly in a stagflationary direction, with higher inflation forecasts extending into 2027, and slightly lower GDP projections and modestly higher unemployment rate expectations for 2026. We expect the median dot for the federal funds rate to remain unchanged, as the risks of higher inflation and lower growth are likely to offset each other. Our forecast continues to call for two 25 bps cuts in June and September, alongside a well-telegraphed slowdown in balance sheet runoff that should have minimal impact on longer-term interest rates.



Source: Federal Reserve Board and Wells Fargo Economics

New Home Sales • Thursday

New home sales are gaining momentum. After averaging a 660K annual pace through the first half of 2025, which was slightly below the year prior, the average pace of transactions jumped to 751K in November and December. Lower mortgage rates appear to be a main driver. The average 30-year fixed rate fell from 7.0% in January 2025 to 6.2% in December and have since slid further to 6.0%. Furthermore, approximately two-thirds of builders are using incentives like price cuts and mortgage rate buy-downs to offset macro challenges, an elevated share compared to recent history.

Harsh winter weather likely prompted some giveback in January. However, price cuts and lower mortgage rates are likely to sustain a healthy overall pace of transactions. We forecast that 2026 started off with a 719K annual sales rate in January, which would be near the upper end of new home sales' overall range last year.

We expect that new home sales will sustain this momentum over the course of 2026. Builder incentives will likely continue to buttress new home sales in the year ahead. We also anticipate an average 30-year mortgage rate of around 6.1% this year, still elevated but below the 6.6% average in 2025. That said, lofty inventory-to-sales ratios will likely preclude a corresponding pickup in single-family construction.

[\(Return to Summary\)](#)

Source: Freddie Mac, U.S. Department of Commerce and Wells Fargo Economics

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International Week Ahead - March 13, 2026

Weekly

Economist(s)

 [Aroop Chatterjee](#)

 [Brendan McKenna](#)

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International Week Ahead

- **European Central Bank:** Focus On Communication, Not Near-Term Action
- **Bank of Canada:** On Hold, Policy Asymmetry Shift Away from Near-Term Easing
- **Bank of Japan:** Tightening Bias Intact, Yet Bar for Immediate Action Is High
- **Canada CPI:** Large Drop in Headline Inflation Reflects Base Effects
- **Bank of England Bank Rate:** On Hold, Easing Not Over
- **Reserve Bank of Australia Cash Rate:** Rate Hike Likely Brought Forward
- **Brazilian Central Bank Selic Rate:** Tempered Easing to Start

Weekly International Indicator Forecasts						
Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
16-Mar	Canada	CPI (YoY)	16-Mar	1.9%	1.8%	2.3%
16-Mar	Canada	CPI (MoM)	16-Mar	0.7%	0.6%	0.0%
16-Mar	Canada	Core CPI - Median (YoY)	16-Mar	2.4%	2.4%	2.5%
16-Mar	Canada	Core CPI - Trim (YoY)	16-Mar	2.4%	2.3%	2.4%
17-Mar	Australia	Reserve Bank of Australia Cash Rate	17-Mar	4.10%	4.10%	3.85%
18-Mar	Canada	Bank of Canada Policy Rate	18-Mar	2.25%	2.25%	2.25%
18-Mar	Brazil	Brazilian Central Bank Selic Rate	18-Mar	14.63%	14.75%	15.00%
19-Mar	Japan	Bank of Japan Policy Rate	19-Mar	0.75%	0.75%	0.75%
19-Mar	U.K.	Bank of England Bank Rate	19-Mar	3.75%	3.75%	3.75%
19-Mar	Eurozone	European Central Bank Deposit Rate	19-Mar	2.00%	2.00%	2.00%

Forecast as of March 13, 2026
Source: Bloomberg Finance L.P. and Wells Fargo Economics

G10

European Central Bank Policy Rate Decision • (3/19)

Focus on Communication/Updated Staff Forecasts, Not Near-Term Action

February inflation surprised to the upside, driven by core components (firmer services, fading goods disinflation, hotter food and a diminished energy drag). The recent oil shock shifts risks away from undershooting inflation toward guarding against persistence. European Central Bank (ECB) staff forecasts should show meaningful upward revisions to 2026 inflation, with any lift to 2027 a key signal for second round effects. Activity looks more resilient than feared, but confidence remains fragile amid geopolitics, trade uncertainty and energy volatility. Expect a less relaxed tone, potentially retiring the long-standing “policy in a good place” language. This is intended to harden rhetoric without signaling imminent rate moves. Overall, we expect optionality to be preserved, but the asymmetry has shifted away from cuts. If energy prices remain elevated, H2 tightening risk creeps back into the distribution, even if near term action is unlikely. Financial conditions have already tightened via repricing in rates. We expect the euro may be negatively correlated with the oil shock as growth headwinds offset firmer rate expectations.

Bank of Canada Policy Rate Decision • (3/18)

On Hold, but Policy Asymmetry Has Shifted Away from Near-Term Easing

We expect the Bank of Canada (BoC) to leave rates unchanged at this meeting. March is too early for a material change in guidance, particularly with USMCA related trade risks still unresolved. That said, the tone should be less dovish than in recent months. The bar for additional cuts has risen, and the BoC is likely to emphasize two-sided risks rather than a clean easing bias. The external impulse from higher oil prices is a game changer relative to our previous views. We detailed this change in our recent [Monthly](#). If sustained, higher energy prices support nominal income, bolster parts of the growth mix and keep inflation uncomfortably above target. This undermines the earlier logic for Q2–Q3 cuts that rested on soft labor markets, trade exposed sectors and easing underlying

inflation. While core inflation had been cooling, the energy shock raises the risk of renewed persistence, especially via headline inflation and inflation expectations. On growth, Canada is relatively insulated versus other advanced economies given its energy exposure, which reduces downside risks relative to peers. The BoC is likely to frame policy as “wait-and-see,” stressing data dependence and uncertainty around the durability of the oil move. Importantly, the asymmetry now points away from cuts. Even if energy prices retrace modestly near term, the threshold for restarting easing is higher than it was earlier this year. We no longer expect near-term cuts, and our baseline now incorporates a 25 bps hike in Q3-2026, with scope for more if oil prices extend higher, USMCA risks fail to materialize (i.e., tariff weighted averages remain broadly unchanged) and/or fiscal rollout accelerates. The shift in policy asymmetry should be mildly supportive for front-end Canada rates and limits downside for the CAD, especially against currencies where policy trade-offs are acute and growth risks severe.

Bank of Japan Policy Rate Decision • (3/19)

Tightening Bias Intact, yet Bar for Immediate Action Is High

We expect the Bank of Japan (BoJ) to keep rates unchanged at this meeting. While recent market pricing and JPY dynamics keep March “in play,” the BoJ is more likely to use this meeting to reinforce its normalization bias. Communication should lean on gradualism, data dependence and vigilance around FX and financial conditions. Business activity has improved, with manufacturing and services indicators firming, but household demand remains fragile as real wage growth is only slowly stabilizing. Inflation has eased from recent peaks, yet core and underlying measures remain at or above target, leaving the BoJ comfortable that underlying inflation dynamics are broadly consistent with its objective. JPY weakness and JGB volatility remain key constraints. The BoJ is acutely sensitive to the risk that prolonged inaction could reignite currency depreciation and undermine policy credibility. That said, with the JPY relatively range bound in recent weeks and market conditions somewhat calmer, the urgency to act immediately has diminished. We continue to expect one additional hike later this year, with the timing skewed toward the latter part of the year (October). An earlier move would require clearer signs of renewed JPY dislocation and/or a further acceleration in services inflation and wage growth, while a delay would be more likely if growth softens again and inflation persistence fades. A hold with hawkish leaning guidance should limit near term downside in the JPY, but absent concrete action, the currency is likely to remain on a depreciating trend, pressured by a large negative terms-of-trade shock, weak fiscal dynamics and a still wide rate gap with the US.

Canada February CPI • (3/16)

Large Drop in Headline Inflation Reflects Base Effects

We expect headline inflation in February to decline to 1.8% year-over-year from 2.3% in January. This largely reflects base effects related to the GST/HST holiday related boost last year as month-over-month inflation is expected to accelerate to 0.6% month-over-month from a flat reading in the previous month. We expect underlying core inflation to continue to moderate with weighted median and trimmed mean inflation moving down to 2.4% and 2.3% year-over-year, respectively. If oil prices evolve as suggested by futures markets, the potential boost to Canada inflation is likely to be sizable—adding up to 1pp to headline inflation over a 1-year horizon. We expect most of this inflationary impulse to pass through into year-end 2026. Greater persistent in oil prices and/or higher levels imply a much larger inflationary surge. For example, if oil prices average above \$130/bbl, the boost to inflation is in excess of 3pp. We recently upgraded our Canada inflation forecast for 2026 and 2027 higher to 2.4% and 2.3% from 1.6% and 2.0%, respectively (see [here](#)).

Reserve Bank of Australia Policy Rate Decision • (03/17)

Rate Hike Likely Brought Forward

We expect the Reserve Bank of Australia (RBA) to raise the cash rate by 25 bps to 4.10% at next week’s meeting, marking the second hike this year after February and pulling forward our previous expectation of a May move. While uncertainty tied to Middle East tensions and higher energy prices will factor into the decision, this is largely a domestic inflation story, with inflation trending higher since Q2-2025 and January headline and trimmed mean readings of 3.8% year-over-year and 3.4%, both exceeding expectations. With solid growth, low unemployment and rising inflation expectations, the RBA has scope to respond to mounting price pressures. We expect this to be the final hike as growth slows, though risks skew toward further tightening if inflation continues to rise, labor markets tighten further or higher oil prices and geopolitical uncertainty persist.

Bank of England Policy Rate Decision • (03/19)

On Hold, Easing Not Over

Next week, when the Bank of England (BoE) announces its latest policy decision, we expect the Bank Rate to remain unchanged at 3.75%, marking a shift from our prior call for a cut. This change does not reflect a view that easing is over but rather that elevated uncertainty may lead the Monetary Policy Committee to proceed cautiously until there is greater clarity on the duration of Middle East conflict and higher energy prices. The meeting comes without updated forecasts or a press conference and we expect neutral forward guidance that preserves optionality for the BoE. Given subdued growth, as reinforced by January’s GDP data, and elevated unemployment, we look for rate cuts in Q2 and Q3, taking Bank Rate to 3.25%, though risks are skewed toward a longer hold, not tightening, if the conflict persists.

EM

Brazilian Central Bank Policy Rate Decision • (03/18)

Tempered Easing to Start

We expect the Brazilian Central Bank (BCB) to begin its easing cycle with a 25 bps cut next week, taking the Selic Rate to 14.75%. Even before the Middle East conflict, election-related fiscal risks and BRL volatility underpinned our more cautious view on easing. Pre-election populism alongside Lula’s still competitive polling is likely to strain Brazil’s limited fiscal flexibility and renew pressure on local financial markets. While higher oil prices can be a net positive for Brazil’s economy (keeping near-term growth prospects supported), the sharp rise in energy prices will keep inflation expectations uncomfortably elevated for policymakers. Lingering fiscal concerns and evidence of economic resilience pre-Iran reinforces our view for a more gradual and tempered BCB monetary easing cycle than forecast by economists’ consensus. We forecast BCB’s policy rate at 13.25% by end-2026 vs. 12.125% median forecast per the BCB’s FOCUS Survey. Market expectations for the policy rate have moved higher in recent days with interest rate futures suggesting 13.5% by year-end vs. 12.16% at the start of March. Risk premium in interest rate markets may continue to widen as oil moves higher, inflation expectations show signs of becoming de-anchored and/or economic populism efforts are renewed.

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Weekly Economic & Financial Commentary

Weekly

Summary

U.S. Week in Review

- The economic data calendar was relatively light this week. However, the major indicators that were published showed that inflation pressures continue to percolate with few signs of the labor market exiting its soft patch. Meanwhile, the Fed communication channel provided comments underscoring the lack of consensus on which side of the Fed's dual mandate demands the most attention, given still-elevated inflation and labor market risks.

U.S. Week Ahead

- Next week will bring some key readings on the economy's early year momentum. We look for the February ISM surveys to show a modest firming in services activity and that the factory sector is continuing to reemerge from the prior year's slump. Yet, the February employment report is likely to indicate that, while the labor market remains roughly in balance, job growth is struggling more than last month's jump in payrolls indicated. We believe the temperate labor market backdrop along with adverse winter weather led to a muted rise in January retail sales.

Weekly Domestic Indicator Forecasts					
Date	Indicator	Period	Consensus	Wells Fargo	Prior
2-Mar	ISM Manufacturing	Feb	51.8	52.0	52.6
3-Mar	Total Vehicle Sales (SAAR)	Feb	15.16M	15.35M	14.85M
4-Mar	ISM Services	Feb	53.8	54.2	53.8
5-Mar	Nonfarm Productivity Annualized (QoQ)	Q4	1.6%	2.2%	4.9%
6-Mar	Retail Sales (MoM)	Jan	-0.3%	0.1%	0.0%
6-Mar	Retail Sales Ex-Auto (MoM)	Jan	0.0%	0.3%	0.0%
6-Mar	Nonfarm Payrolls	Feb	60K	45K	130K
6-Mar	Private Payrolls	Feb	70K	55K	172K
6-Mar	Unemployment Rate	Feb	4.3%	4.3%	4.3%
6-Mar	Average Hourly Earnings (MoM)	Feb	0.3%	0.3%	0.4%

Forecast as of February 27, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

U.S. Week in Review

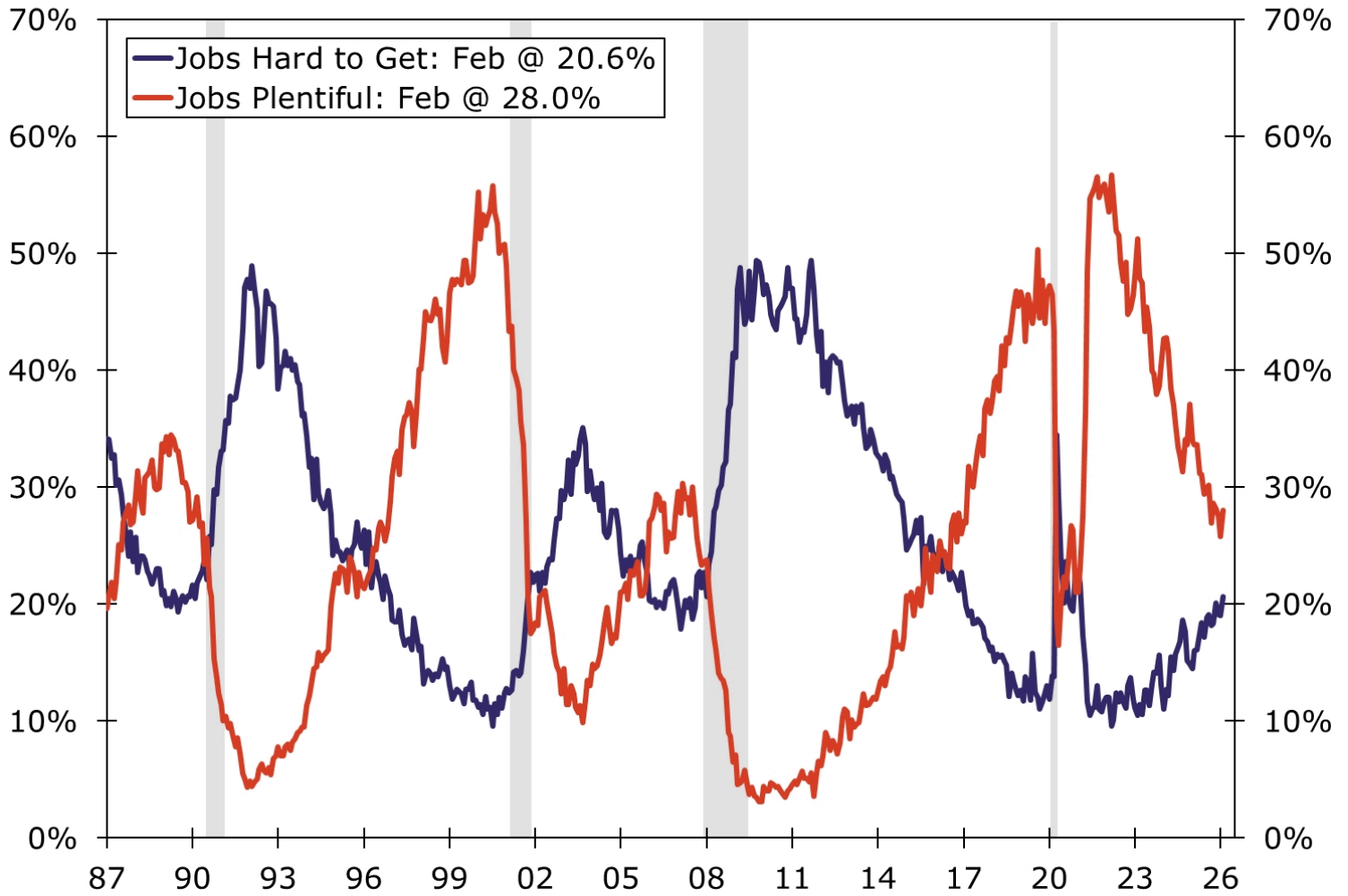
The economic data calendar was relatively light this week. However, the indicators that were published showed that inflation pressures continue to percolate with few signs of the labor market exiting its soft patch.

The soft labor market narrative was on display within the details of January's consumer confidence print. Top-line consumer confidence is still bouncing around at the lower end of its past five-year range but came in a bit stronger than expected during January. The upside surprise was an encouraging development in that it suggests consumers are not feeling any worse about the current state of the economy. That said, the labor differential subcomponent, i.e., the difference between respondents saying "jobs are plentiful" and those saying "jobs are hard to get," remains a glaring weak spot.

Breaking it down, just 28% of people think "jobs are plentiful," up slightly during the month but still well off the recent cycle peak of over 50%. This suggests firms are still being cautious on adding to headcounts. But are they reducing payrolls in a material way? "Jobs hard to get" has averaged just 20% over the past several months, up from recent lows but hardly consistent with skyrocketing unemployment. In addition, initial jobless claims declined to 212K during the week ended Feb. 21, further evidence that overall unemployment is not surging higher. The message is that the labor market is currently lethargic, with very slow rates of new hiring. But deep and widespread layoffs (beyond a select few industries) do not appear to be happening either.

Jobs Plentiful vs. Hard to Get

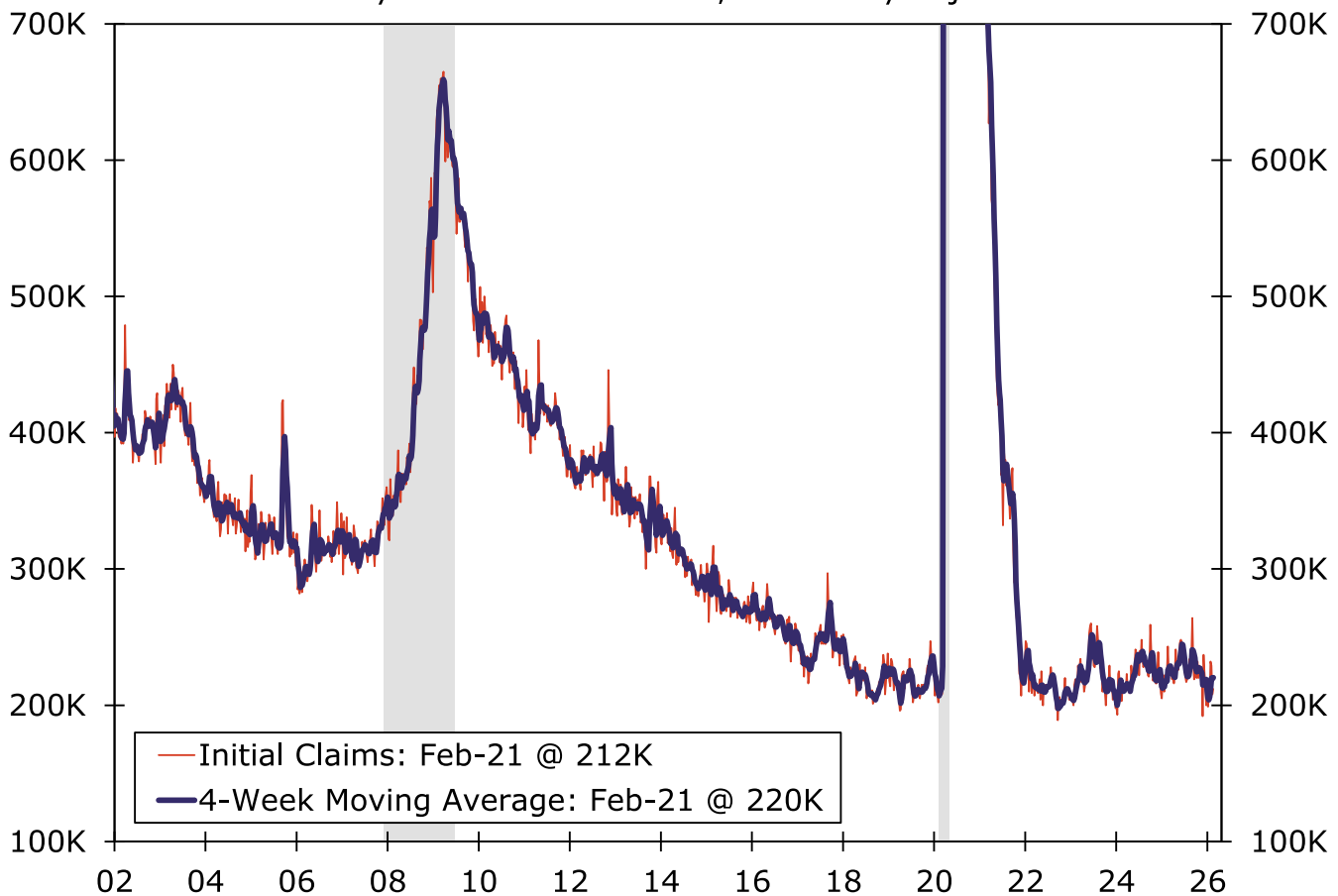
Percent of Consumers, Conference Board



Source: The Conference Board and Wells Fargo Economics

Initial Jobless Claims

Weekly Initial Jobless Claims, Seasonally Adjusted



Source: U.S. Department of Labor and Wells Fargo Economics

The thin flow of major indicators allowed plenty of time to parse through a full week of Fed speak. Generally speaking, the comments provided underscored that there is no clear consensus at the FOMC and among the regional bank presidents on which side of the Fed's dual mandate demands the most attention. For example, Chicago Fed President Goolsbee stated "I remain optimistic that there can be more rate cuts this year. But that hinges on seeing actual progress on inflation that shows we are on a path back to 2%." Governor Miran seemed more concerned about downside risks to employment, saying "I think it's way too early to sort of sound an all clear that the labor market doesn't need more support from the Federal Reserve" and "four cuts I think are appropriate and I'd rather get them sooner rather than later."

However, comments from Governor Waller at the NABE policy conference in D.C. on Monday especially stood out to us. "If the labor market data for February are consistent with the stronger job creation and low unemployment rate initially reported in January, indicating that downside risks to the labor market have diminished, it may be appropriate to hold the FOMC's policy rate at current levels and watch for continued progress on inflation and strength in the labor market. But if the good labor market news of January is revised away or evaporates in February, it would support my position at the FOMC's last meeting, that a 25-basis-point reduction in the policy rate was appropriate, and that such a cut should be made at the March meeting. As things stand today, I rate these two possible outcomes as close to a coin flip."

In our view, January's "strong" employment growth may have been overstated and a more moderate payroll gain in February seems likely. For more on our nonfarm payroll forecast, please see below in our [Outlook section](#). Nevertheless, labor market conditions do not appear to be deteriorating and look to have stabilized, albeit within a "low hire, low fire" context. Meanwhile, January's hotter-than-expected rise in both the headline and core Producer Price Index is the latest reminder that price pressures are still evident and that most inflation measures are still running above the FOMC's 2% target. From our standpoint, this lowers the likelihood of a March rate cut, though two additional 25 bps cuts later this year are still on the table, given still-present downside risks in the labor market.

[\(Return to Summary\)](#)

U.S. Week Ahead

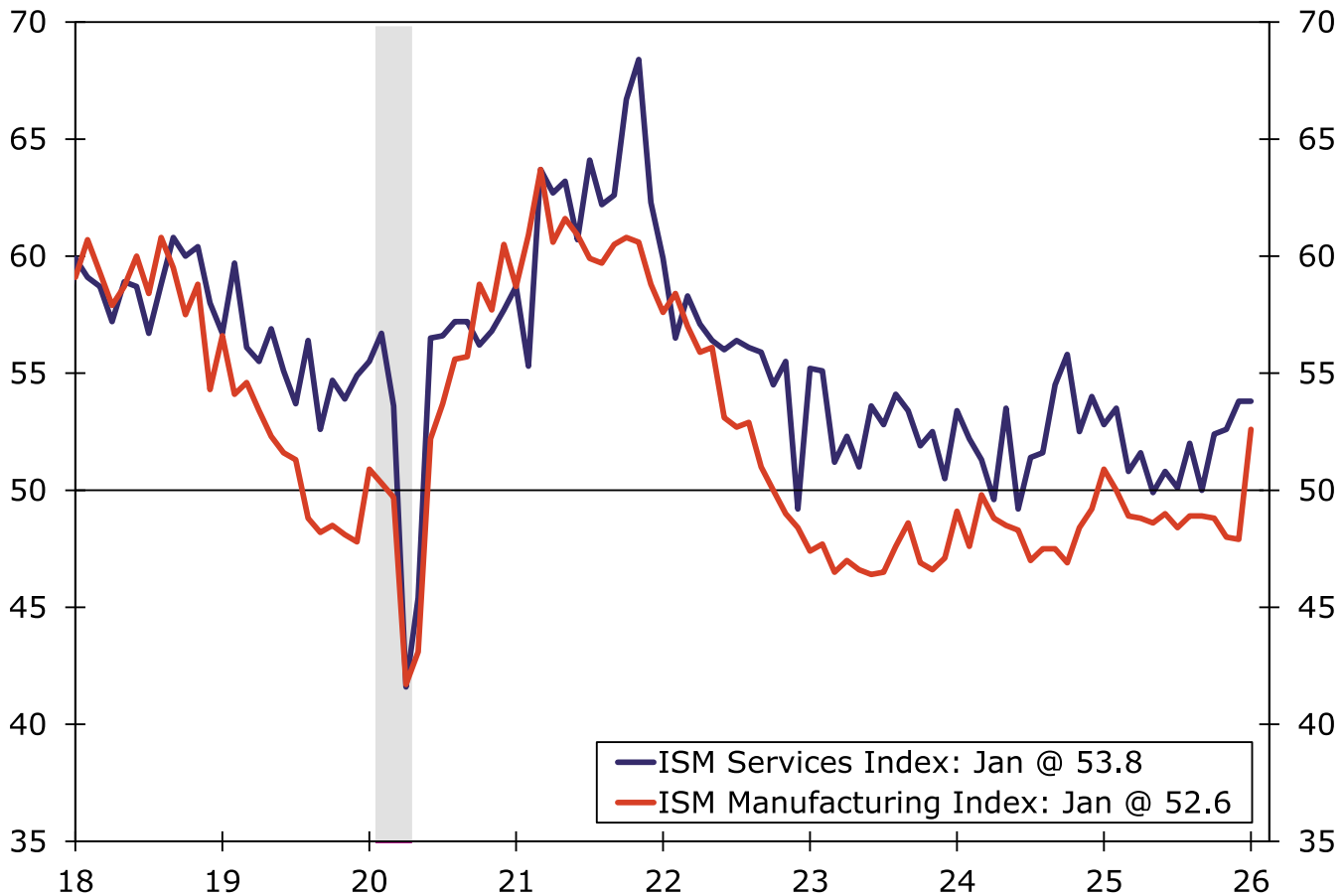
Monday & Wednesday • ISM Surveys

The ISM manufacturing index crossed into expansion territory in January for the first time in 10 months. The improvement comes amid an upswing in capital spending—highlighted by broadening in durable goods orders—as well as restocking efforts in the wake of last year's tariff hikes. We would not be surprised to see a little giveback in February following last month's leap, however, and estimate a February print of 52.0. The nearly 10-point jump in the new orders component in January overstates underlying momentum in the factory sector in our view. Regional PMIs for February show manufacturing activity continued to expand last month, but a more even-keeled pace.

Non-manufacturing activity continues to hold up better, as indicated by the ISM services index maintaining its 14-month high in January. Although firms remain cautious when it comes to hiring, business activity has been sturdy. We look for the February reading, due Wednesday, to edge up to 54.2.

ISM Manufacturing & Services

Diffusion Index



Source: Institute for Supply Management and Wells Fargo Economics

Friday • Employment

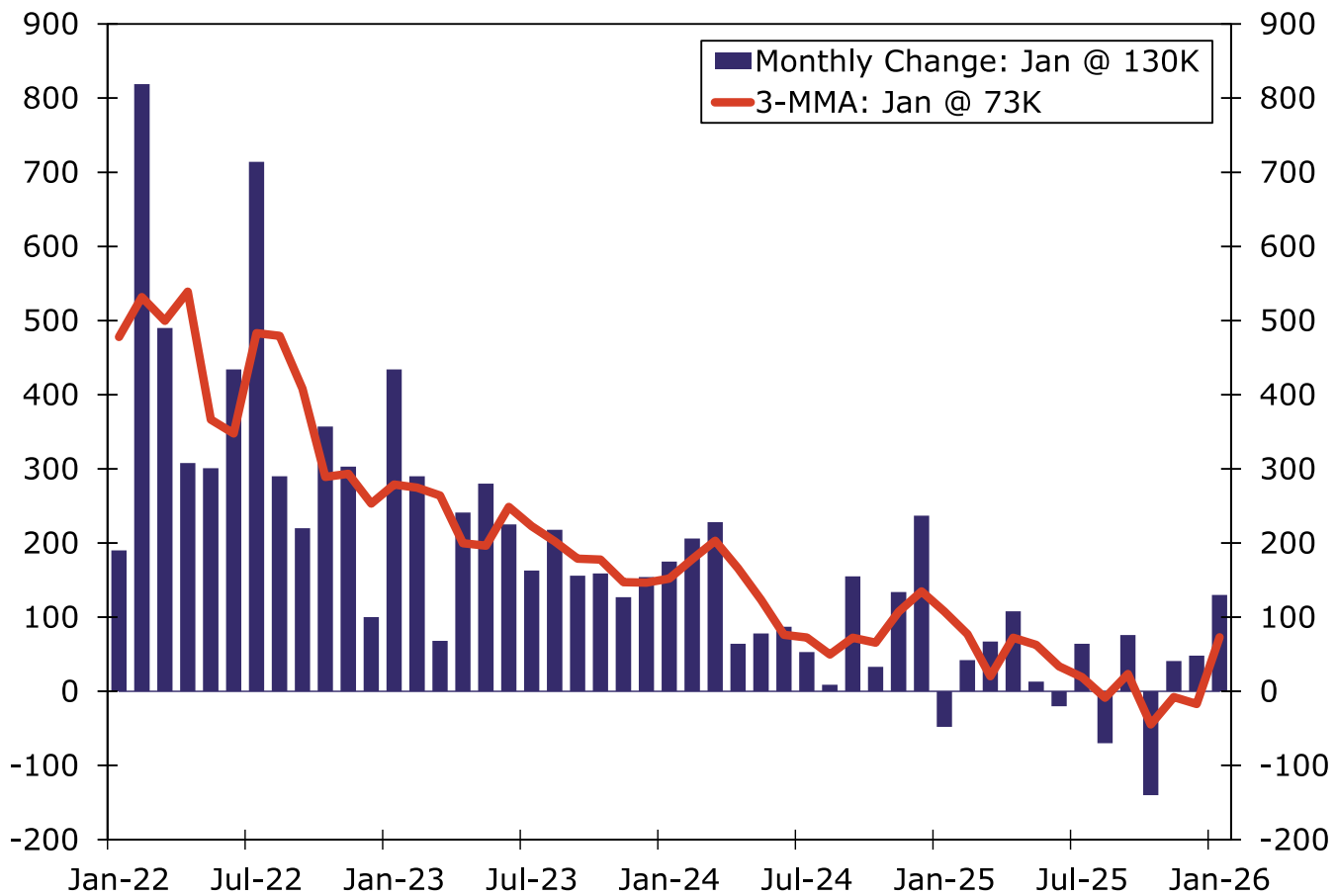
We expect the February employment report to show that January's robust pace of payroll growth overstated underlying momentum in the labor market. While some stabilization in demand for workers is evident, a range of indicators, including JOLTS and consumers' perception of job availability, continue to point to a gradual loosening in labor market conditions rather than a renewed acceleration in hiring. We look for nonfarm payrolls to rise by 45K in February, with weakness in weather-sensitive industries like construction and leisure & hospitality and some payback in healthcare & social assistance after a significantly above-trend reading in January.

We estimate the unemployment rate held steady at 4.3% in February, but see two-sided risk to this call. The household survey's measure of employment growth has been running well ahead of its trend the past two months, leaving some scope for payback in February that could push the jobless rate up to 4.4%. However, the implementation of the household survey's annual population adjustment poses downside risks, given the shift in immigration trends last year. Ratios from the household survey such as the labor force participation rate and unemployment rate are less affected by the population control adjustments than *level* data, but can move slightly under meaningful changes in the composition of the population.

The roughly balanced labor market should lead to average hourly earnings advancing a trend-like 0.3% in February and 3.7% over the past year. For more information, please see our [employment preview](#).

U.S. Nonfarm Employment Change

Thousands



Source: U.S. Department of Labor and Wells Fargo Economics

Friday • Retail Sales

The shutdown-delayed January retail sales report is expected to show spending got off to a modest start in 2026. A large winter storm across the central and eastern U.S. likely crimped activity, with auto sales in January already reported to have fallen to nearly a three-year low. Lower gasoline prices will also have weighed on sales, leading us to expect just a 0.1% increase in total retail sales last month.

Yet, consumers are still finding ways to spend despite the cooler jobs market leading to slower income growth and a dampened consumer mood. High-frequency credit card data showed some modest firming in spending in January, leading us to expect retail sales ex-autos rose 0.3% last month. We expect retail sales to show more signs of life in the coming months as larger tax refunds and stabilizing labor market conditions support more discretionary spending.

[\(Return to Summary\)](#)

Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

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International Week Ahead - February 27, 2026

Weekly

Economist(s)

 [Brendan McKenna](#)

 [Aroop Chatterjee](#)

 [Azhin Abdulkarim](#)

International Week Ahead

- **Eurozone CPI:** Disinflation to Keep ECB Asymmetry for Rate Cuts
- **Australia GDP:** Q4 Growth Recovery Expected, Driven by Consumption
- **China PMIs:** Contraction, but IEEPA Ruling May Cloud Takeaways
- **China Inflation:** Deflation Pressures to Remain Present
- **China NPC and 15th Five-Year Plan:** Significance Has Dwindled

Weekly International Indicator Forecasts						
Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
3-Mar	Eurozone	CPI (MoM)	Feb	0.5%	0.4%	-0.6%
3-Mar	Eurozone	CPI (YoY)	Feb	1.7%	1.6%	1.7%
3-Mar	Eurozone	Core CPI (YoY)	Feb	2.2%	2.2%	2.2%
4-Mar	Australia	GDP (QoQ, SA)	Q4	0.7%	0.6%	0.4%
4-Mar	Australia	GDP (YoY)	Q4	2.2%	2.1%	2.1%
4-Mar	China	Manufacturing PMI	Feb	49.1	—	49.3
4-Mar	China	Non-Manufacturing PMI	Feb	49.7	—	49.4
9-Mar	China	CPI (YoY)	Feb	—	—	0.2%

Forecast as of February 27, 2026
Source: Bloomberg Finance L.P. and Wells Fargo Economics

G10

Eurozone February CPI • (03/03)

Broader Disinflation to Keep ECB Asymmetry for Rate Cuts

We expect preliminary readings for February CPI to come in at 0.4% month-over-month, below consensus at 0.5% (per Bloomberg). In terms of the year-over-year numbers, we expect headline inflation to decline to 1.6% from 1.7% and core to hold at 2.2%. Disinflationary pressures have broadened in recent months beyond energy prices and have encompassed both non-energy industrial goods (NEIG) and services. A stronger EUR, goods diversion from China and weak global demand has helped drive the softness in NEIG price inflation, whereas easing wage momentum has helped push services inflation lower. Although our baseline remains for the European Central Bank (ECB) to remain on hold, the asymmetry remains firmly tilted towards easing, in our view. The ECB appears comfortable with a slight undershoot of inflation vs. its target (ECB forecast of 1.9% and 1.8% for 2026 and 2027, respectively), however larger shortfalls are likely to bring rate cuts back on the table. Moreover, the ECB is likely to be sensitive to signs of weakness in growth and/or tightness in credit conditions. We continue to believe meaningful support from fiscal policy is not likely until 2027. On the flip side, upside risks to inflation have dissipated significantly absent a meaningful rebound in oil/gas prices.

Australia GDP • (03/04)

Q4 Growth Recovery Expected, Driven by Consumption

Australia's growth likely strengthened at year-end after a softer Q3 print. While we and consensus expect a Q4 rebound, we see less upside, with GDP rising 0.6% quarter-over-quarter on a seasonally adjusted basis and 2.1% year-over-year (versus consensus expectations of 0.7% and 2.2%, respectively). Q3 GDP grew 0.4% quarter-over-quarter and 2.1% year-over-year, driven mainly by a 0.8% increase in private business investment led by a 7.6% rebound in machinery and equipment. That momentum appears to have faded, as recent capital expenditure data show machinery and equipment spending slowing, and while non-residential construction remained firm, overall business investment momentum likely softened. Consumption, which accounts for roughly half of GDP, was more resilient in Q4, with monthly household spending indicators pointing to stronger activity despite a weaker December, and should be the main growth driver as Reserve Bank of Australia (RBA) rate cuts continued to filter through the economy. As in Q3, net exports and inventories are likely to weigh on growth, with imports continuing to outpace exports and monthly trade data pointing to another drag. In terms of monetary policy implications, we remain comfortable with our base case of one additional rate hike in May, taking the Cash Rate to 4.10%, given still-elevated inflation. However, a weaker-than-expected Q4 growth outcome could likely cap the tightening cycle at a single hike and reduce the risk of further increases later this year.

China Manufacturing & Non-Manufacturing PMI • (03/04)

Contraction Territory, but IEEPA Tariff Ruling May Cloud Takeaways

With most hard activity data delayed due to Lunar New Year celebrations, PMIs will be closely watched to gauge underlying economic sentiment in China. As of January, both the manufacturing and non-manufacturing PMIs are in contraction territory and expectations are for both sentiment indices to remain below 50 when February data are released. Historically, PMI data have been useful to gauge trend direction of China's economy. Below 50 prints are consistent with decelerating activity, and vice versa. But keep in mind, while February data may show both sectors in contraction, they both may not fully capture a lower effective tariff rate applied to Chinese exports headed for the U.S. after the U.S. Supreme Court's IEEPA tariff ruling. So while we will be paying attention to both, we will take each with a modest grain of salt. March PMIs next month will likely be more reflective of whether U.S. importers will rush to place orders in China as tariff rates are lower, especially with the Trump administration set to raise the baseline tariff to 15% in the coming weeks and possibly explore new country-specific tariffs through another legal avenues in the coming months. While we remain steadfast in our view that China's economy is riddled with structural imbalances that will pressure long-term growth rates, short-term growth prospects are holding up on exports with risks to our 4.7% 2026 GDP forecast tilted to the upside.

China Inflation • (03/09)

Weak Consumer Spending and Subdued Export Prices Keep Deflation Pressures Present

Deflation pressures are one of the structural deficiencies within China's economy, a challenge for short and long-term growth that should be on display when February CPI and PPI data are released next week. On the consumer side, subdued inflation is a product of weak consumer confidence and subdued domestic demand. We can point to a myriad of issues that contribute to soft consumer spending, but an unwillingness by Chinese policymakers to reflate the economy via monetary policy accommodation and fiscal support should mean soft consumer activity likely remains a theme for the foreseeable future. For producers, exporters are still trying to clear our excess inventory and still keeping export prices low. Export prices have come up a bit as authorities have pursued an anti-involution agenda, but we would not expect any significant changes to export prices nor PPI next month. Thematically, exporters may also look to keep prices permanently lower in an effort to maintain market share won last year. China now has ~22% of the global export market, up from ~17% at the end of 2024. How does China maintain market share? Pull-forward of external demand and front-running tariff hikes will help, but keeping prices low doesn't hurt either.

China National People's Congress and 15th Five-Year Plan • (03/05 – 03/19)

Significance Has Dwindled and We Do Not Expect Anything Groundbreaking

The annual gathering of the National People's Congress (NPC) will start next week, yet will run over the course of the next two weeks. Typically, the NPC is a forum for implementing policy already decided and does not generate much in terms of surprises. We expect a similar result this year. But at least this year's NPC will be marked by the Chinese Communist Party (CCP) releasing its updated and 15th "Five-Year Plan" designed to offer insight into economic priorities, how the economy will be managed and economic goals for the next five years. In the past, Five-Year Plans were significant—especially during the Great Leap Forward years and the subsequent recovery and pursuit of a more market-driven economy under Deng. But more recently, Five-Year Plans have not offered much in terms of detail nor significant adjustments to how the CCP wants to evolve China's economy. For the 15th Plan, CCP members have already released a tentative summary of what the final Five-Year Plan will address. Long document, but skimming through suggests little in terms of surprises or significance. While we will pay attention, we anticipate headlines that sound material and economy-altering, particularly in the current tariff and trade backdrop, to amount to more of the same recent trends. We expect market participants to ultimately shrug off the Five-Year Plan and focus elsewhere going forward.

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